## FISCAL ANALYSIS OF MEASURE K

### City of Willows Cannabis Business Tax

Measure K would authorize the City of Willows to impose a general business tax on cannabis business activities conducted within the City. The tax may be imposed at a rate of up to 10% of gross receipts.

As stated in City Council Resolution No. 28-2026, the measure is expected to generate approximately $260,000 annually. This estimate is based on the anticipated revenue from cannabis business activity within the City and is the revenue estimate included by the City Council in the ballot measure submitted to the voters.

Resolution No. 28-2026 further establishes an initial cannabis business tax rate of 5% for a period of one year beginning when the ordinance becomes effective. After the initial one-year period, the City Council may, by resolution, modify the tax rate; however, the rate may not exceed the maximum rate of 10% of gross receipts authorized by the voters.

Because the initial tax rate will be 5%, actual revenue collected during the first year may be lower than the approximately $260,000 annual estimate identified in Resolution No. 28-2026. Actual revenue will depend on the gross receipts of cannabis businesses operating within the City, the number and type of cannabis businesses subject to the tax, changes in business activity, and any future adjustments to the tax rate made by the City Council within the voter-approved maximum.

Revenue generated by the cannabis business tax would be deposited into the City's General Fund and would be available for unrestricted general governmental purposes, including services such as police, fire, roads, recreation, and other City operations. The measure is a general tax and does not restrict the revenue to any specific program or service.

The City will incur administrative costs associated with implementing, collecting, monitoring, auditing, and enforcing the cannabis business tax. The proposed ordinance assigns administration of the tax to the Finance Director and establishes procedures for business registration, reporting, payment, penalties, interest, audits, assessments, and collection. The amount of these administrative costs has not yet been determined.

**Fiscal Impact:** Based on the estimate contained in Resolution No. 28-2026, Measure K is expected to generate approximately $260,000 annually. The tax will initially be imposed at a rate of 5% of gross receipts for the first year, with the City Council authorized thereafter to adjust the rate up to, but not exceeding, the voter-approved maximum of 10% of gross receipts. Actual revenues may vary depending on cannabis business activity and the tax rate in effect.